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Investir — fierce competition in the United States

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“McDonald's — Tough competition in the United States” · stock market analysis and advice.

Summary

Recommendation on McDonald's shares (+28% in Paris since January). Good 3rd quarter results (net profit +14%, at \$400 million), driven by international operations (+34% operating profit over nine months). **In the United States, on the other hand, growth is slowing (+2%):** under “tough competition”, the group is trimming its margins and **reducing its pace of openings from 1,000 to 700 “satellite” restaurants a year.**

Key figures

- Shares: +28% in Paris since January; price 202 F / \$41.1.
- Q3: net profit +14% (\$400 million); system-wide sales +13% (\$7.8 billion).
- Annual openings cut from 1,000 to 700 (“satellite” formats).

Significance for the case file

It shows the **downside of the openings strategy**: in a mature market, the multiplication of outlets squeezes margins, to the point that the group slows its openings. This admission of saturation echoes, at the scale of a town, what Collorafi would experience in Antibes.

Source: bernardcollorafi.org/en/documents/investir-mcdonalds-stock-competition-united-states-1995/ — Documentary case file of the lawsuit Bernard Collorafi v. McDonald's France (Antibes, 1987–2002). The original scan is authoritative.